

Vijay Setia with his son and company director Ankit Setia at their rice export unit in Karnal

RAJWANT RAWAT

far beyond grains. The financial stakes are high, with Hussain noting that India's exports to the US included a significant $69.1 million in spices in 2024. In this sector, he points out that "China and Peru were other major exporters...so we may lose there too." This broad realignment means traditional US buyers are now pivoting to a wider array of global suppliers, a trend further evidenced by countries like Turkey and Mexico steadily edging into the lucrative ethnic food aisles for processed foods and spices.

↘ Newer Markets: In response, Indian exporters are now urgently looking to diversify into markets in West Asia, Africa and Europe, where the demand for both staples, like rice, wheat and spices, and value-added processed foods is rising. While Europe presents tighter import standards that complicate entry, countries like the UAE and Saudi Arabia are absorbing higher volumes of premium basmati rice. However, over and above such diversification, some exporters believe the setback in the US may only be temporary. They cite the strong brand loyalty and greater purchasing power of American consumers, suggesting that the deep relationships built over decades will be difficult for competitors to fully replace. ■

CASE STUDY

VIJAY SETIA, 71
Joint Managing Director,* Maharani Rice Mills, *Karnal

Annual turnover
₹1,000 crore*

No. of employees: 800

Total exports to the US: ₹180 crore*

Likely loss due to the tariffs: ₹40-50 crore

*FY24, estimated

For Maharani Rice Mills, one of India's fastest-growing basmati exporters, the American dream has suddenly become a costlier pursuit. The company, which painstakingly carved a niche for itself in ethnic retail stores in the diaspora-heavy pockets of New Jersey, California and Texas before breaking into mainstream supermarket chains, now finds its US presence under threat.

The immediate jolt was cushioned by a peculiar twist in buyer behaviour. Exporters claim that anticipating the tariff hike, buyers had stocked up heavily before the new duty took effect on Aug. 27. But shipments have waned in the days that followed. Maharani's profit margins have eroded by an estimated 8–10 per cent, as the company has chosen to absorb most of the cost increases rather than risk alienating price-sensitive customers. "Our US presence is strategic—it's not just about volumes, but about positioning Maharani as a premium global brand," says Vijay Setia, joint managing director of the agro firm.

To soften the blow, the company is doubling down on West Asia. But Setia concedes the transition will not be seamless. "It will take years to replicate the US price realisation in these markets," he notes. ■